

we find the range to be .57 to .95. The range comfortably fits the numbers listed in [Table 19.1](#), so we found a valid turn C.

DC/BC extension. The extension works the same way as a retrace. In this case, the formula is $(D - C)/(B - C)$. Using the high–low value of D (50.03 to 48.19) gets a Fibonacci range of 2.34 to 3.02. Point D spans the 2.618 Fibonacci number, so D qualifies.

I use the high–low range for the last point in each turn because Fibonacci patterns are complicated and that makes them rare. Giving them a bit of leeway at each turn helps boost the sample count without including bogus patterns. At least, that's my impression of the results. Your software may use a different algorithm and find different results.

DA/XA retrace. For the last turn, I use a 3% window. Plugging numbers into the ratio using the high at X, low at A, and high at D gives a value of 1.6. That's within 3% of the target 1.618 Fibonacci number. The pattern qualifies as a valid bearish crab.

Duration. I limited patterns to no more than 6 months long.

The stock dropped from D, just as it was supposed to, cutting price more than half in less than 3 months. Don't expect this kind of decline from bearish crabs, though.

Focus on Failures

[Figure 19.3](#) shows what I consider a failure of the bearish crab to perform as expected. I show the crab marked by turns XABCD. The turns have been checked, and they qualify as a valid Fibonacci pattern. Volume trends lower at F (verified using linear regression) probably due to the tall volume spike at the start of the pattern.